

for flag paintings, indulged largely through my acquisition of reproductions of the classic works of Jasper Johns and Childe Hassam. But I can't remember a single year during my long career in which I've spent more than I earned.

Second, I've been blessed, ever since I began working in 1951, with a fabulous defined-contribution retirement plan, provided at the outset by Wellington Management, and then carried over to Vanguard, where I've continued to invest to this day. Wellington's first contribution to the plan was made in July 1951, 15 percent of my first month's salary of \$250, or just \$37.50. I've continued investing 15 percent of my compensation—which grew substantially during the late 1980s through the mid-1990s—in my retirement plan (to which a thrift plan was later added).

After stepping down as Vanguard's chief executive, I've continued to put away that 15 percent of the modest annual retainer I receive from the firm. I'm not yet retired, so I'm not required to draw down any distributions. My experience is a living testimony of how the humble wonders of the tax-deferred retirement plan, soundly invested over the long-term, can build the accumulation of wealth. My own retirement plan is by far the largest single item on our family balance sheet, and while I prefer not to tell the world the exact amount, its current value is little short of awesome.

Third, I've invested wisely, eschewing speculation and focusing exclusively on (you guessed it!) conservatively invested, low-cost mutual funds, first at Wellington and then at Vanguard. During my early career, I invested in Wellington Fund (shares that I hold to this day) and then, for most of my later career, largely in Vanguard's equity funds. But late in 1999, concerned about the (obviously) speculative level of stock prices, I reduced my equities to about 35 percent of assets, thereby increasing my bond position to about 65 percent. While stock and bond market fluctuations have swung that ratio around a bit, I haven't made a single change in my asset allocation ever since. And, even in today's turbulent markets, I do my best to avoid the temptation to peek at the value of my fund holdings. (A good rule for all of us!)